



MONTHLY UPDATE

Kenya: monthly update, July 2026

Edition of 2026-08-19-2 · 112 systems and instruments tracked, 6 of them not held

Developments recorded from artefacts published between 2026-07-01 and 2026-08-19 – July 2026 carried forward to the date of issue, so the report holds the nightly catch to the day it was cut. Sections follow the status report.

Summary of the month

The month's largest single event was a consultation closing rather than an instrument taking effect: comment on the [draft AI and Other Emerging Technologies Policy](#) opened on 21 July and closed on 4 August 2026. Two instruments did commence – virtual-asset regulations gazetted on 22 July, and an equipment distributor licence effective from a notice of 21 July. The presidency's website was defaced on 18 July and restored on 20 July. On 28 July the Court of Appeal struck the false-publication sections of the Computer Misuse and Cybercrimes Act.

Infrastructure

Connectivity

The Communications Authority introduced a [Communications Equipment Distributor licence](#) by public notice on 21 July 2026, mandatory before equipment type approval and customs clearance, with penalties of KSh 1m or three years.

Satellite capacity ran out in the country's densest markets. The operator [suspended new sign-ups across seven counties](#) in early July, diverting orders to a deposit-backed waitlist. On 4 August the second mobile operator said its direct-to-cell pilot had completed and it awaits regulatory approval; the interference audit opened in March has produced no published finding.

Kenya and Tanzania [launched a cross-border terrestrial fibre link](#) on 29 July 2026, integrating the Tanzanian backbone with the Mombasa submarine landings. The London Internet Exchange [added a regional cloud provider to its Nairobi hub](#) in July, reaching 55 or more connected networks on combined traffic of 330 Gbps.

The largest procurement in the window is a surveillance build sold as traffic management. The roads authority is out to tender on [Nairobi's Intelligent Transport System Phase II at Ksh10bn, about US\\$83.8m, covering CCTV, e-police monitoring and vehicle-detection systems at 60 junctions on a 30-month design-build contract financed by a South Korean development loan](#), with the bid deadline pushed back two weeks to 19 August. No data-protection authorisation, retention rule or oversight arrangement for the cameras and detection systems is reported, and no award has been made.

Data Storage

On 4 August the operator building the 44MW Tatu City data centre [moved completion to July 2027](#) from a first-quarter 2027 date.

Two prospective builds at the technopolis went from talk to signature inside five days. On 13 August the authority and a hyperscaler were [exploring a local cloud outpost and a startup and technical centre of excellence](#) and the ICT principal secretary [received a Chinese network communications group on broadband, smart cities and digital infrastructure investment](#); by 18 August the authority had [signed a collaboration agreement putting the hyperscaler's technical leadership behind an Outpost for hybrid cloud and a startup and innovation centre of excellence](#), with certification courses for its staff and for young Kenyans and credits for startups, and a [memorandum with the Chinese group covering the planning, investment, financing, design, development and maintenance of cloud, artificial intelligence, high-performance computing and smart-city infrastructure on the site](#). Neither instrument carries a capacity, a site, an investment figure or a date, and the second states its financing models as still to be explored.

Energy

Power is what is holding the data-centre build back, and there is no rule governing it. A hyperscale project [stalled on power capacity in July](#), against about 3 GW of installed supply and a 10 GW-by-2030 target — a single 1 GW facility [would take a third of supply](#). No published tariff, gazetted large-load connection rule or grid-connection framework for data centres exists: every power arrangement the base holds is bilateral.

Technical Capacity

Two capacity items advanced without a figure attached to either. Nationwide broadcast-logger deployment is complete with a monitoring room at the regulator's centre, [joint regulator training concluding on 27 July](#), with no cost, coverage or channel-count disclosed. The advanced science and technology institute has its charter issued and its [operationalisation under review with the Korean export credit agency](#), with no allocation for the year disclosed and no commitment amount stated.

Cybersecurity

The presidency's website was [defaced on 18 July with a 5 BTC ransom demand and restored on 20 July](#) — the second compromise of that portal in eight months. State House says no evidence of data access was found; cause and attribution are undisclosed.

A vendor threat report published on 13 August put the exposure at the ordinary end rather than the novel one: [malicious email attachments dominated, 46.2% of them scripts, quick-response-code phishing rose 145% between the second half of 2025 and the first of 2026, exploitation of a 2017 Office vulnerability more than doubled, and one loader became the country's fourth most-detected malware family](#). The figures are the vendor's own detections, not a national incident series.

Digital public infrastructure

Data Exchange

The health ministry issued tender addenda on 27 July 2026 that [make financial, tax, insurance, pension, payroll, laboratory and identity interfaces day-one mandatory](#) for a national public-health enterprise system, and require primary hosting inside an approved Kenyan government or health-sector environment.

The Treasury is building the other kind of exchange — one that looks at the money coming in. It is [rolling out a Development Partners Management Information System, expected to launch before the end of 2026](#), to consolidate data on development-partner commitments, disbursements and funded programmes for planning and oversight. No supplier, cost, or statement of whether the consolidated data will be published is reported.

Digital Identity and CRVS

Government is [procuring a system to cut identity-card issuance to ten days and passports to a week](#). The source is a headline account; no contract, vendor or value is held.

Two identity systems met the courts instead. The High Court [barred the transport authority from discontinuing physical vehicle logbooks](#) on 11 August, pending a petition arguing the electronic logbook was introduced without public participation and without adequate data-protection and cybersecurity impact assessments. Separately, the Attorney-General's six-month window to legislate on phone-number recycling, opened by the March judgment recognising a registered number as a protected digital identifier, [was still open in August with nothing tabled](#), while banks, savings societies and platforms continue to rely on numbers after reassignment.

Digital Payments and Fintech

Borrowers can [repay Hustler Fund loans in loyalty points from 23 July](#), five points settling one shilling, recovering KSh 3m in the first week. A second operator launched a merchant wallet on 3 August.

Sectoral management information systems (HMIS, EMIS, etc.)

Health claims authorisation failed at the counter through the month. A teachers' union raised on 30 July that members were [turned away and billed in cash](#) when the platform failed, one charged Ksh8,500 on 19 July; the Authority answered that the Digital Health Agency runs the system on its behalf.

An academic review published on 5 August put the child-protection case system on the other side of that ledger, [crediting it with cutting duplication and improving real-time coordination between agencies, with recorded cases rising from 20,235 in 2016/17 to 54,583 in 2021/22](#). The most recent of those figures is four years old, and the system is American-funded — which places it in the same account as the withdrawal recorded under inclusion below.

Other GovTech and e-Gov

The Controller of Budget's report entered July's reading: [1,695 of a target 11,000 services](#) were migrated onto eCitizen in the year to 31 March 2026, against 3,458 the year before, described as a dismal performance.

The platform sells better abroad than it migrates at home. Its operator [pitched the Democratic Republic of the Congo's digital economy ministry on 12 August on digital company registries, beneficial-ownership traceability and real-time state-revenue tracking](#), citing eCitizen's forty-plus digitised services and existing registry deployments in Malawi and South Sudan; the Congolese minister asked officials to continue talks toward a partnership. The claims are the vendor's own, made in a sales meeting, and the same operating consortium's domestic position remains under challenge.

Governance and regulation

Legislation and regulation

Virtual-asset regulations were [gazetted on 22 July 2026 as Legal Notice 134](#), setting paid-up capital by licence class from KES 300m for stablecoin issuance to nil for investment advisers, and a seizure and freezing framework; the draft's ownership cap did not survive into the gazetted text. Existing operators must license afresh by 4 November 2026 under the 2025 Act.

On 28 July the Court of Appeal's narrowing of the Computer Misuse and Cybercrimes Act was [reported at a coalition close-out](#): the false-publication sections and the power to shut down websites without judicial oversight were struck, and a conservatory order blocks a national internet shutdown pending full hearing.

Cyber cafés acquired licence conditions and then a clarification of them. The regulator [published the conditions by gazette notice on 7 August, taking effect on 7 September](#), requiring customer name and identity number, terminal and session times to be captured and kept at least three years, and [clarified on 13 August that operators need not track customers' browsing history](#). An earlier account of the same rules gave the effective date as 14 August; the gazette notice the regulator cites puts it four weeks later.

A separate bill would meter what those records cover. An internet service provider [told Parliament on 14 August that mandatory consumption-based internet billing under the Kenya Information and Communications \(Amendment\) Bill 2025 could raise costs and create data-privacy risks](#), metering at subscriber level implying retained usage records. No committee report or enactment date is published.

Strategies, plans and policies

A revised Hustler Fund merchant tariff schedule takes effect on 7 August, delivered as voluntary alignment with central bank pricing principles rather than a gazetted rule.

Standards

Two days after introducing the equipment distributor licence, the Communications Authority introduced vendor class-licence rules requiring a twelve-month warranty and three years of retained sales records. The data-protection regulator launched a quality management system on 14 July, phased toward external certification.

Data protection

On 4 August the data-protection regulator published [draft guidance on offshore AI processing](#) requiring a lawful transfer basis, a documented adequacy assessment and a written processing agreement before personal data leaves Kenya; the note itself is not held after two retrievals returned HTTP 404.

The gambling regulator [confirmed on 3 August](#) that it is investigating three licensed operators on a complaint dated 19 May 2026, with police requesting its entire record on the licensees back to 2018.

Open data

The draft data governance policy provides for a [state-run data marketplace of more than 1,000 datasets over five years, at KSh 396m to build and operate, overseen by a proposed national council](#). Pricing is deferred to a later phase with no valuation method stated — a state proposing to sell data it holds by compulsion, before it has said what the data is worth or on what basis.

Artificial intelligence and the technology sector

AI

The draft AI policy was published for comment on 21 July and comment closed on 4 August. It runs to 226 pages, asserts [effects-based jurisdiction over entities outside Kenya](#) whose outputs have direct and foreseeable effects in the country, leaves "high risk" undefined and states no penalties. Its labour chapter [sets minimum standards for content moderators, data annotators and evaluators](#), binding on international firms operating through outsourcing partners.

An analysis published on 23 July recorded that the National AI Strategy, costed at KSh 152bn over five years, [carries no dedicated allocation in the 2026/27 budget](#). On 28 July the government and the UN development programme agreed progress on a national AI computing platform; no GPU count, cost or commissioning date was published. Kenya was named on 31 July as one of five governments launching a pooled African-language AI initiative.

The draft then drew its first substantive submission, and a headline figure. A civil-society organisation [urged institutional independence for the proposed AI council and mandatory human-rights impact assessments](#) on 14 August, with the draft reported as nearing Cabinet consideration. Alongside it, a commercial data compiler's mid-year update [put 97.5% of Kenya's online adults using an artificial-intelligence tool monthly, first globally, ahead of the United Arab Emirates at 94.2% and Indonesia at 93.6%](#). It is a self-reported survey of online adults rather than a population measure.

Innovation ecosystem

Venture funding data published on 27 July put Kenyan startups at [US\\$126m in the first half of 2026](#), third in Africa and the weakest half since early 2021, against US\$1.04bn across 2025.

China activities

The e-commerce cooperation memorandum with China was [cited as the basis for dispatching eighteen ICT officers to Shandong](#), framed inside the digital master plan. The memorandum's signature date, terms and text are not held.

Inclusion and capacity

Digital divides

The KenSafeSpace digital-rights coalition [closed on 28 July](#) after 30 months on a EUR 1.3m grant, reporting 18,000 people reached directly and 133 defenders trained, with its 49 members continuing unfunded; a successor programme opened the same day training 150 justice-sector officials on digital evidence.

The larger withdrawal is American. An implementing partner's account published on 12 August reports that [work bringing connectivity and digital inclusion to remote Kenyan counties slowed or stopped after the 2025 wind-down, in which 83% of the agency's programmes were cut](#), and that [the multi-funder Women in the Digital Economy Fund lost its American component while the parts other funders backed continued](#). What is described as lost is not the money alone but the convening: the party that got competitors, ministries and communities into the same project. No replacement funder is named, and no figure for the Kenyan share is stated.

Domestic provision was restated in the same fortnight. The regulator's Universal Service Fund [put a target of 120,000 people across 19 counties over three years on its Digital Skilling Project](#), aimed at unserved and underserved areas and framed as the skills half of a connectivity programme. It is a target stated at a stakeholders' workshop: no budget line, delivery partner, county list or start date accompanies it, and the fund's own FY2025/26 account is still unpublished.

Access to services

The Auditor-General's findings on the Hustler Fund entered the record on 23 July: [104,631 loans worth KSh 116.5m](#) were issued to borrowers whose national identity details were missing from the customer database, against a 15% default rate and state funding down to KSh 300m in the year to June 2026.

Literacy

The regulator donated computers to a school in Turkana on 30 July, one of 23 institutions recently supported, with no quantity or value disclosed.

Training and skills

The 117th digital hub was [commissioned in Baringo on 20 July](#) on the ceremony series, against a separate installed-base series of about 350 that the programme's own officials also use.

Finance

New investments

Two financings were signed. A [EUR270m facility across 21 obligors in eight jurisdictions was signed on 9 July, its committed portion of up to EUR170m including a local-currency tranche of up to EUR20m equivalent in shillings for fibre modernisation in Kenya](#), with a further uncommitted EUR100m for future acquisitions and capital expenditure across the lender's sub-Saharan operations. Domestically the digital economy acceleration project [took KSh 4.3bn for the year, half the entire digital thematic, to equip more than 10,000 junior secondary schools](#).

On 4 August the development lender committed [US\\$24.2m across three Kenyan lenders under the first catalytic first-loss guarantee transactions anywhere in Africa](#), backed by US\$11m of concessional private-sector-window money and expected to catalyse about US\$144.4m of local-currency lending to micro-enterprises. Only one of the three counterparties is a digital lender; the individual allocations are not disclosed, so what the structure buys in fintech terms cannot be read off the announcement.

Domestic budget appropriations and expenditure

The 2027/28 budget process launched on 24 July naming the Digital Superhighway a priority sector, with no ceiling or figure published.

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